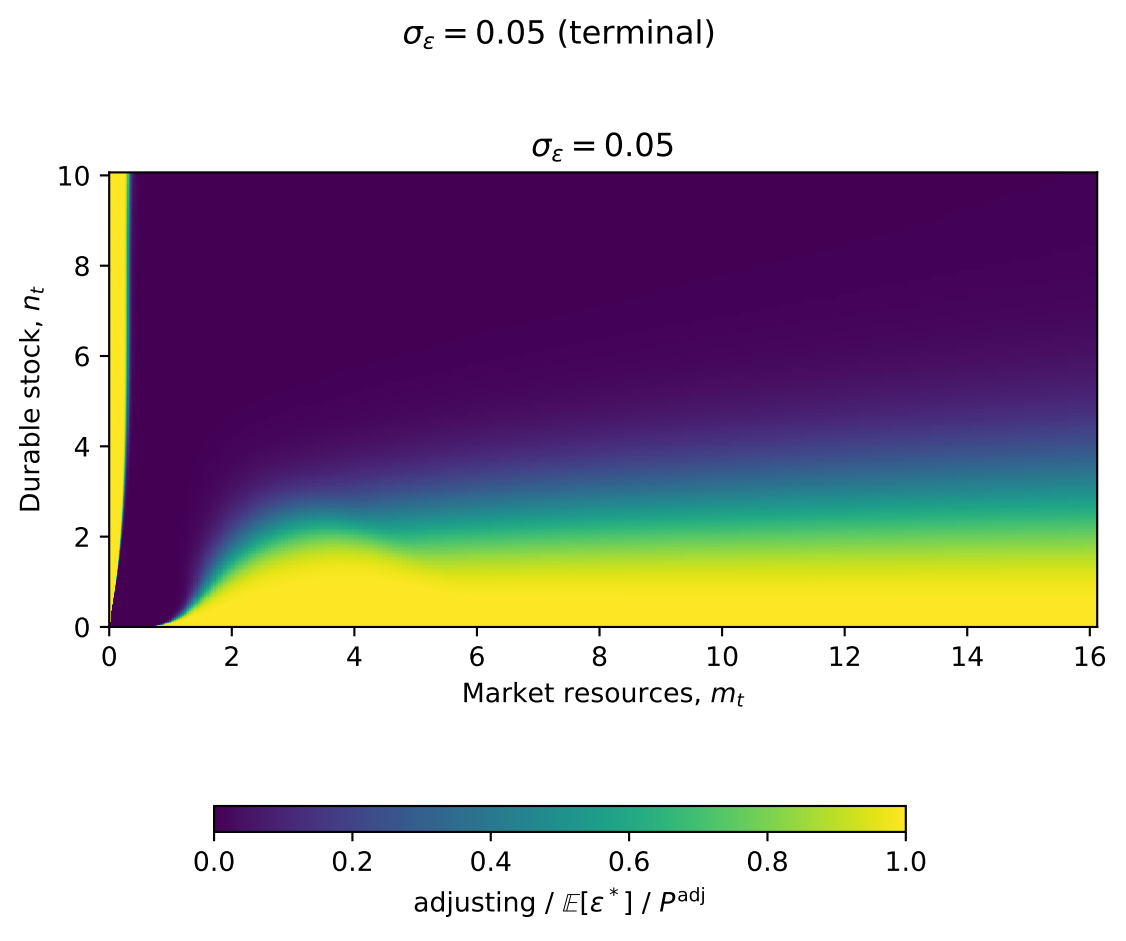

$\sigma_\varepsilon = 0.05$ (terminal)
$\sigma_\varepsilon = 0.05$
Durable stock, $n_t$
Market resources, $m_t$
0
2
4
6
8
10
12
14
16
0.0
0.2
0.4
0.6
0.8
1.0
adjusting / $\mathbb{E}[\varepsilon^*]$ / $P^{\text{adj}}$